Reimbursement Analysis with Advance Funding Option — Cascada SAID

October 22, 2026

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RE: Cascada SAID GO and Special Assessment Bond Reimbursement Analysis with Advance Funding Option

We have prepared the attached reimbursement analysis for Cascada SAID (the "District") as requested by the developer. The analysis sizes a programmatic general-obligation bond financing for an Arizona State Affordability Infrastructure District (HB 2999), held to the $5.00 per $100 NALPV secondary debt-service tax-rate limit, together with a special assessment bond program secured by assessments on the developed lots (see Special Assessment Bonds below).

Year	Lots	Homes
2026	0	0
2027	158	0
2028	240	158
2029	240	240
2030	240	240
2031	240	240
2032	240	240
2033	240	240
2034	240	240
2035	240	240
2036	240	240
2037	240	240
2038	142	240
2039	0	142
Total	**2,700**	**2,700**

WASP ≈ $445,000 · Peak NALPV ≈ $637,727,365

The following is a summary of the assumptions used in the analysis:

- Development delivers 2,700 homes (weighted average sales price ≈ $445,000); value is phased onto the tax roll as homes close
- Arizona assesses on Net Assessed Limited Property Value (NALPV): Full Cash Value × 75% tax-rolls ratio × 10% residential assessment (Legal Class 3) × 0.773 Rule B ratio for new construction in Pima County
- Vacant developed lots are assessed as Arizona Legal Class 2 property at 15% of Full Cash Value (A.R.S. §§ 42-12002, 42-15002); their land value is carried while the lot is vacant and removed as each home closes and the Class 3 home value is added
- Home prices escalate at 2.0% annually; existing roll value compounds at the 5% annual NALPV growth cap (Rule A)
- Value is recognized on the roll with an 18-month lag (Arizona assessment timing)
- A $5.00 per $100 NALPV secondary debt-service tax rate is assumed — the cap HB 2999 imposes on State Affordability Infrastructure Districts
- A 95% tax-collection rate and a 1% interest-earnings rate on fund balances are assumed
- Bonds carry a 5.500% interest rate, a 30-year final maturity, and front-loaded principal pinned to the $5.00 tax-rate cap
- Issuance is held to a maximum direct debt-to-NALPV ratio of 60%; bonds are up to 15 programmatic issuances
- A small rate-setting series ($41,200 dated 8/15/2028) is issued so the $5.00 debt-service tax rate is levied from the first year the District carries taxable value; it is sized to the minimum par whose first-year debt service produces that rate, so it retires in its first year
- Special assessment bonds: a $40,000 assessment per lot financed by Developer Bonds sold ahead of lot construction; when the lot converts to a home the developer pays the balance down to $10,000 plus accrued interest and the homeowner carries that $10,000 on the bond's original schedule; 7.00% rate, 30-year level installments to the same final maturity as the GO bonds (see Special Assessment Bonds below)

The following table reflects the assumptions above. The estimated bond reimbursement amount is the net proceeds remaining after subtracting estimated costs of issuance.

Bond #	AV Certified	Issuance Date	NALPV with Growth @ 5.00%	Par Amount	Est. Reimbursement	Cumulative Reimb.	Target Tax Rate	Actual Tax Rate
1	8/15/2027	8/15/2028	—	$41,200	$39,367	$39,367	$5.00	—‡
2	8/15/2028	8/15/2029	$917,150	$550,000	$525,525	$564,892	$5.00	$4.99
3	8/15/2029	8/15/2030	$5,606,263	$3,045,000	$2,909,498	$3,474,389	$5.00	$4.98†
4	8/15/2030	8/15/2031	$12,328,452	$4,435,000	$4,237,642	$7,712,032	$5.00	$4.99†
5	8/15/2031	8/15/2032	$19,515,588	$4,830,000	$4,615,065	$12,327,097	$5.00	$5.00
6	8/15/2032	8/15/2033	$27,193,495	$5,255,000	$5,021,152	$17,348,249	$5.00	$4.99†
7	8/15/2033	8/15/2034	$35,389,340	$5,695,000	$5,441,572	$22,789,822	$5.00	$4.99†
8	8/15/2034	8/15/2035	$44,131,701	$6,170,000	$5,895,435	$28,685,257	$5.00	$4.99†
9	8/15/2035	8/15/2036	$53,450,638	$6,675,000	$6,377,962	$35,063,219	$5.00	$4.99†
10	8/15/2036	8/15/2037	$63,377,768	$7,200,000	$6,879,600	$41,942,819	$5.00	$5.00
11	8/15/2037	8/15/2038	$73,946,347	$7,760,000	$7,414,680	$49,357,499	$5.00	$5.00
12	8/15/2038	8/15/2039	$85,191,349	$8,350,000	$7,978,425	$57,335,924	$5.00	$5.00
13	8/15/2039	8/15/2040	$96,442,242	$6,400,000	$6,115,200	$63,451,124	$5.00	$4.99†
14	8/15/2040	8/15/2041	$104,865,103	$2,445,000	$2,336,198	$65,787,322	$5.00	$5.00
15	8/15/2041	8/15/2042	$110,108,358	$5,435,000	$5,193,142	$70,980,464	$5.00	$5.00
16	8/15/2042	8/15/2043	$115,613,776	$3,840,000	$3,669,120	$74,649,584	$5.00	$5.00
Total				**$78,126,200**	**$74,649,584**			

† *In these years the tax rate is restricted by the 60% direct debt-to-NALPV limit: the bonds supporting that year's levy were sized to the 60% rule rather than the $5.00 debt-service tax-rate cap, so the rate cannot reach $5.00.*

‡ *Rate-setting series, issued the roll before the District's first taxable value; its first-year debt service produces the $5.00 rate in the following row.*

Special Assessment Bonds

In addition to, and separate from, the general-obligation program above, the District can levy a special assessment on the developed lots and issue special assessment bonds secured by those liens (A.R.S. § 48-721 et seq.).

Per the Developer we have assumed that each developed lot carries a **$40,000** assessment financed by Developer Bonds sold ahead of lot construction. When the lot converts to a home the developer pays the lot's balance down to **$10,000**, about $30,000 on an unamortized lot, plus accrued interest; the **$10,000** stays on the lot and is carried by the homeowner to final maturity. Each series funds a debt service reserve from proceeds — released pro rata to the developer as lots pay off and applied to the final installment at maturity.

Payoff at Conversion

The payoff of each bond is tied to the home closings schedule. Lots are paid off in the order they were delivered, so each bond pays down in sequence while later bonds are being sold for the lots still to come; the developer pays the installments on lots it still holds. Developer payoffs total $80,537,081 of principal plus $1,896,898 of accrued interest less $6,747,698 of reserve released with those payoffs, the developer pays $2,876,519 of installments on unconverted lots, and $27,000,000 of balances transfer to 2,700 homeowners. The developer therefore repays **$6,136,879** more than it receives, the interest cost of carrying the lots from sale to conversion.

Series	Sold	Delivery Years Funded	Lots Funded	Assessment / Lot	Par Amount	Lot Value / Lot	Value-to-Lien	Est. Reimbursement	Paid Off by Developer	Transferred to Homeowners	Conversions
1	8/15/2026	2027–2029	638	$40,000	$25,520,000	$68,267	1.71x*	$17,062,035	$19,011,113	$6,380,000	2028–2030
2	8/15/2029	2030–2032	720	$40,000	$28,800,000	$72,262	1.81x*	$19,319,739	$21,471,113	$7,200,000	2031–2033
3	8/15/2032	2033–2035	720	$40,000	$28,800,000	$76,685	1.92x*	$19,319,739	$21,471,113	$7,200,000	2034–2036
4	8/15/2035	2036–2038	622	$40,000	$24,880,000	$81,124	2.03x*	$16,724,408	$18,583,742	$6,220,000	2037–2039
Total			**2,700**		**$108,000,000**		**1.86x**	**$72,425,921**	**$80,537,081**	**$27,000,000**	

* *Finished-lot value at issuance is below the required 3:1 value-to-lien for this series.*

Advance Funding SAID Receivables Financing

Alongside the year-by-year reimbursement schedule above, the District's projected reimbursement cashflows to the developer can be advance-funded today through a single conduit issuance of Capital Appreciation Bonds (CABs) priced at a yield of 7.250%, pledging those same reimbursement cashflows as the source of repayment. The structure sizes a total par amount of $26,149,547, delivering **$25,365,061**[1] in upfront reimbursement to the developer at closing. Bonds are sized against an aggregate coverage of 1.85x — total pledged reimbursements divided by total net debt service — and the capture rate, calculated as upfront proceeds plus excess fund balance divided by total pledged reimbursements, is 79.95%.

Sources of Funds		
	Special Revenue Bonds — Series 2028	**Total**
Par Amount of Bonds	$26,149,547	$26,149,547
Plus: Premium / (Discount)	$0	$0
TOTAL SOURCES OF FUNDS:	**$26,149,547**	**$26,149,547**

Uses of Funds		
	Special Revenue Bonds — Series 2028	**Total**
Est. Reimbursement Amount	**$25,365,061**	**$25,365,061**
Underwriter's Discount	$392,243	$392,243
Costs of Issuance	$392,243	$392,243
TOTAL USES OF FUNDS:	**$26,149,547**	**$26,149,547**

Payment Date	Bond Redemption	Plus Ongoing Fees	Net Debt Service	SAID Bond Net Proceeds	Interest Earned in DSF	Funds Available for NDS	Cumulative Excess Funds Balance
8/1/2029	$525,000	$0	$525,000	$525,525	$2,628	$528,153	$3,153
8/1/2030	$2,860,000	$33,677	$2,893,677	$2,909,498	$14,547	$2,924,045	$33,521
8/1/2031	$4,190,000	$31,276	$4,221,276	$4,237,642	$21,188	$4,258,831	$71,075
8/1/2032	$4,570,000	$27,996	$4,597,996	$4,615,065	$23,075	$4,638,140	$111,219
8/1/2033	$4,980,000	$24,661	$5,004,661	$5,021,152	$25,106	$5,046,258	$152,817
8/1/2034	$5,410,000	$21,272	$5,431,272	$5,441,572	$27,208	$5,468,780	$190,325
8/1/2035	$5,865,000	$17,840	$5,882,840	$5,895,435	$29,477	$5,924,912	$232,397
8/1/2036	$6,355,000	$14,370	$6,369,370	$6,377,962	$31,890	$6,409,852	$272,879
8/1/2037	$5,570,000	$10,865	$5,580,865	$6,879,600	$34,398	$6,913,998	$1,606,013
8/1/2038	$0	$0	$0	$7,414,680	$37,073	$7,451,753	$9,057,766
8/1/2039	$0	$0	$0	$7,978,425	$39,892	$8,018,317	$17,076,083
8/1/2040	$0	$0	$0	$6,115,200	$30,576	$6,145,776	$23,221,859
8/1/2041	$0	$0	$0	$2,336,198	$11,681	$2,347,878	$25,569,738
8/1/2042	$0	$0	$0	$5,193,142	$25,966	$5,219,108	$30,788,846
8/1/2043	$0	$0	$0	$3,669,120	$18,346	$3,687,466	$34,476,311
Total	**$40,325,000**	**$181,957**	**$40,506,957**	**$74,610,218**	**$373,051**	**$74,983,269**	

[1] *At the time of closing, the Developer is eligible to receive net proceeds equal to the eligible development expenditures incurred to date. The remaining net proceeds are held by the trustee and requisitioned as further development expenditures are made.*

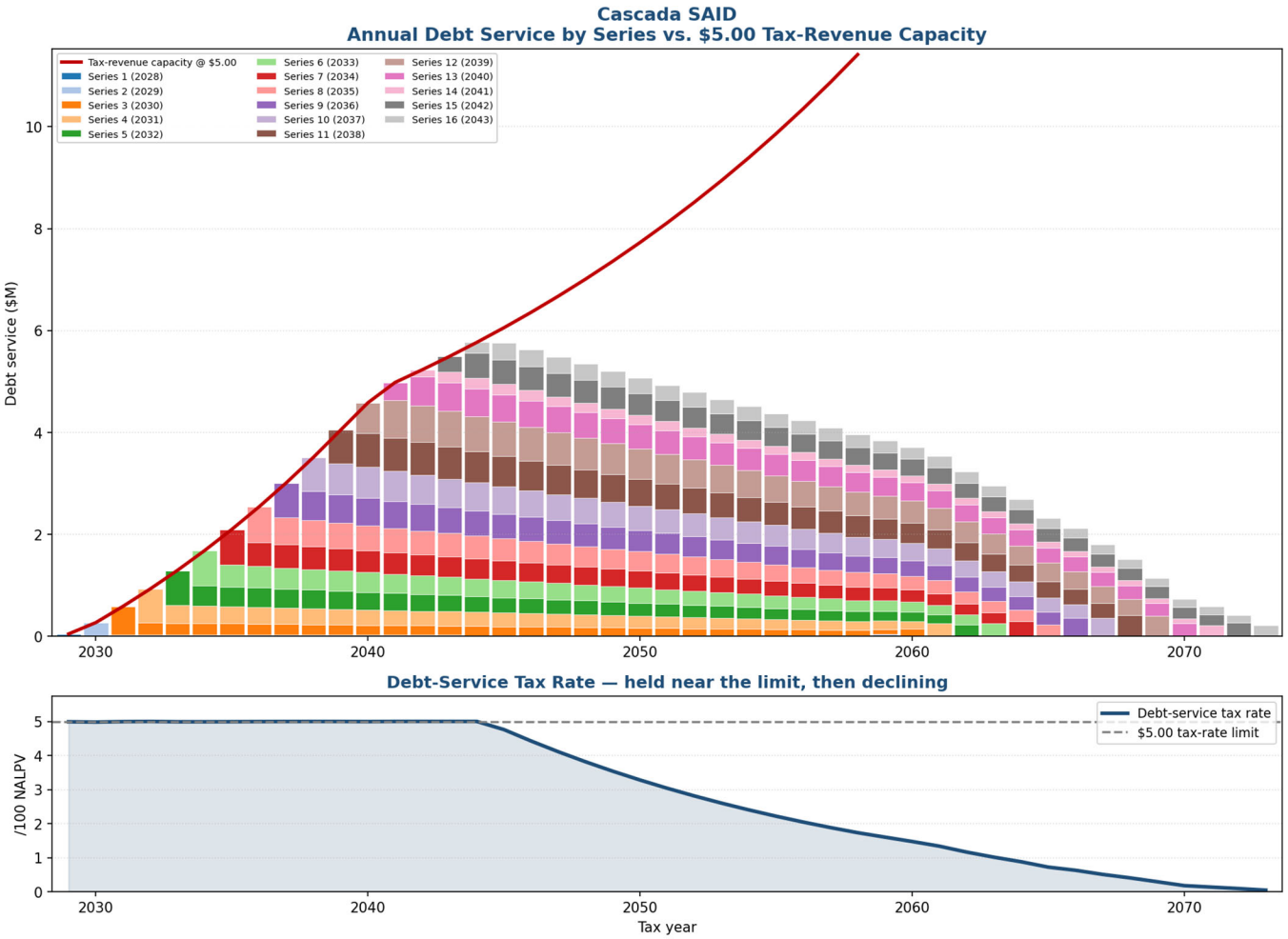
Please call us if you have any questions or if we can be of any further assistance.

Sincerely,

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Preliminary and subject to change. This analysis is based on developer-provided assumptions and is for discussion purposes only; it is not a recommendation or an offer to sell securities.

Appendix — Annual Debt Service by Series and Debt-Service Tax Rate



Top: each series' annual debt service stacked under the $5.00 tax-revenue capacity envelope. Bottom: the debt-service tax rate held near the limit, then declining.